

ALL INDIA DISCOM ASSOCIATION (AIDA)
Minutes of 1st Meeting of Committee on Regulatory Matters

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Committee Members present

1. Satyendra Nath Kalita, Director (Regulatory Affairs), AIDA
2. D.C. Verma, CE (RAU), UPPCL
3. Sanjay Chaurasia, SE, UPPCL
4. Yogesh Gadkari, Director (Commercial), MSEDCL
5. Kanishk Khettarpal, BRPL
6. Rajeev Chaudhary, BRPL & BYPL
7. K.B. Shah, Addl. CE (R&C), PGVCL
8. Suranjit Mishra, CFO, TPDDL
9. P.C. Patel, ACE (RA&C), MGVCL
10. B. Ashok Kumar, CGM/RA, APEPDCL
11. Reena Suri, ED, ISGF

Others present:

1. Alok Kumar, Director General, AIDA
2. Sudhir Kumar, Research Officer, AIDA
3. Vijay Prakash Singh, Tata Steel USL.
4. Jagannadh, APEPDCL

At the outset, Shri Satyendra Nath Kalita, Director (Regulatory Affairs) of AIDA welcomed the members of the newly formed AIDA Committee on Regulatory Matters. The participants, from different Discoms, were provided with a brief overview of the committee's purpose in providing input for AIDA's advocacy efforts. The agenda included three key proposals, including draft guidelines for Virtual Power Purchase Agreements (VPPAs), draft amendments to electricity rules concerning Energy Storage Systems (ESS) and draft amendment in Power Market Regulations.

During the meeting, the following issues were discussed with the respective Members of DISCOMS:

1. Virtual Power Purchase Agreement (VPPA)

Shri Alok Kumar, Director General of AIDA, presented the draft guidelines for Virtual Power Purchase Agreements (VPPAs), which enable consumers with Renewable Consumption Obligation (RPO) to engage in long-term contracts with renewable energy developers. He further added that the power generated will not be supplied directly to the consumers but sold in the market, with consumers settling the price difference.

Shri Rajeev Chowdhury, BRPL & BYPL, raised issues over the increasing trend of C&I consumers opting for open access, which he believes is adversely affecting the DISCOMs. He pointed out that the cross-subsidy surcharge, mandate by the National Tariff Policy to remain within a plus or minus 20% range, is often not followed by most of the SERCs. This non-compliance, he noted, is encouraging the C&I consumers to move out from the DISCOM network. He, emphasized the importance of strict compliance with these regulatory provisions to mitigate further financial pressure on DISCOMs.

Shri Jagannadh, APEPDCL, expressed concerns about the implications of Virtual Power Purchase agreements, questioning the responsibilities of DISCOMs if developer fail to sell power. The DG AIDA explained that under VPPA, DISCOMs are not obligated to buy power, as the agreements are designed for Captive or open access consumers. He emphasized the importance of balancing costs and the potential impact of increased solar power on DISCOMs.

Shri Sanjay Chaurasia, SE UPPCL, stated that the Virtual Power Purchase Agreement (VPPA) is a useful guideline for open access consumers. Many DISCOMs are not fully supportive of the energy banking mechanism. In such cases, VPPA allows consumers to sell their renewable energy in the market, earn Renewable Energy Certificates (RECs), and to meet their Renewable Purchase Obligations (RPOs). This model of VPPA can reduce the banking burden on DISCOMs. He suggested that SERCs may consider including VPPA provisions in their regulations to address this issue. In response, DG AIDA clarified that in VPPA, there is no physical delivery of power to the consumer. The energy is sold elsewhere, and the transaction is settled financial. He noted that while energy flows through the grid, VPPA offers flexibility without adding pressure on the DISCOM network.

Shri Vijay Prakash Singh, Tata Steel, raised a query regarding the billing mechanism under VPPA. He asked whether the seller would raise the bill for the entire contracted value or only for the differential value. DG AIDA clarified that the seller would bill only for the differential amount. The amount collected from market is treated as the seller's revenue. The buyer, usually a C&I consumer, would pay the difference between the strike price and the market price. Based on this, it seems that DISCOMs are not directly impacted by VPPA.

In closing, DG AIDA, raised concerns about the financial implications of these agreements on DISCOMs, particularly in relation to the allocation of renewable energy balancing responsibilities. He also pointed out that the issue of balancing responsibility remains important. If VPPA volumes grow, there is a possibility that the balancing responsibility and associated costs may increase for DISCOMs. To avoid this, Regulators should ensure that DSM (Deviation Settlement Mechanism) rules for RE under VPPA are at par with conventional power sources. This would help ensure that all market participants share balancing costs fairly, including those operating through VPPAs.

2. Amendment of Rule 18 on Energy Storage System (ESS)

The proposed amendment to Rule 18 aims to enable consumers to establish and utilize energy storage systems, which was previously restricted to generating, transmission, or distribution companies. DG AIDA stated that this change would help C&I as well as rooftop consumers to use their storage to manage their generation and demand differences and use it during the peak hours. He further added that the storage at the consumer premises is a welcome move. It helps reduce balancing costs, as batteries can be charged

during solar hours. It also lowers the need for banking because the storage can be used later, especially during evening hours.

Shri Sanjay Chaurasia, SE UPPCL, stated that this is a positive step from the consumer's perspective. It also helps reduce the burden on DISCOMs related to open access and energy banking. With storage acting as a substitute for banking, DISCOMs may face less pressure from renewable energy integration. He further added that it doesn't make much difference when the storage is co-located with the consumer. But when a consumer installs storage at a different location, this guideline becomes useful. It allows the consumer to use their stored energy even if it's not on the same premises. He further suggested that consumers availing renewable energy through open access can be mandated to install at least 20% battery storage. This would promote the use of battery storage systems and enhance demand response and it may be included in the draft guidelines. DG, AIDA, noted that these guidelines may provide a legal framework for enabling storage at the consumer level. Like in Rajasthan, where captive plants exceeding demand are required to install storage, similar provisions could be mandated by SERCs for large open access consumers.

Shri B. Ashok Kumar, CGM/RA APEPDCL, suggested that during peak demand or R&C (Regulation & Curtailment) periods, utilities should be able to draw power from consumer installed battery storage systems, and suitable provisions should be included in the regulation. DG, AIDA agreed and mentioned that if consumer installed storage participates in demand response, it would be a positive step. He highlighted that SERCs could frame regulations to enable such participation and consumers should be compensated for battery usage and maintenance. CGM/RA, APEPDCL further said that this would act like grid support. DG, AIDA added that a commercial mechanism is needed to compensate consumers for battery usage, as their investment and battery life would be affected. CGM/RA, APEPDCL further suggested that the viability gap funding (VGF) or similar incentives could also be considered. DG, AIDA concluded that compensating consumers, even at Rs. 3–6 per unit, would still be more economical than buying peak power from the exchange at Rs. 10 per unit.

Shri Rajeev Chowdhury, BRPL & BYPL, supported the initiative but raised a concern that battery storage owners should sell power only to the DISCOMs, not directly to other consumers, as only DISCOMs are authorized under the Act to sell electricity. He emphasized that DISCOMs manage the load profile and should be the central buyers. DG, AIDA, agreed, However, he noted that DISCOMs must offer fair compensation, higher than current low rates to attract battery owners. He added that this approach would enable Regulators and DISCOMs to promote distributed demand response and reduce dependence on costly and limited availability of power from exchanges.

Shri Yogesh Gadkari, Director (Commercial) MSEDCL, appreciated the initiative and suggested that AIDA should send recommendations to CEA, which is drafting rules to mandate battery storage for solar installations, including rooftop system. He noted that currently, the grid is being used as a substitute for storage. DG, AIDA acknowledged the suggestion, clarified that CEA's current stance is advisory, and assured that AIDA will review and discuss the draft rules once received.

3. Draft Power Market Amendment Regulations.

DG, AIDA, explained that the proposed amendments to the Power Market Regulations aim to include VPPAs under Over-the-Counter (OTC) transactions. These amendments introduce turnover limits for OTC platforms and promote them as an additional avenue for power trade. OTC platforms will also enhance transparency by displaying prevailing market rates, although transactions will be based on negotiation rather than competitive bidding. He further noted that the changes seem reasonable.

Shri Rajeev Chowdhary, BRPL & BYPL, appreciated the move. However, he expressed concern regarding post-facto prudence checks by SERCs, particularly for private DISCOMs. Since OTC transactions are based on negotiated rates rather than competitive bidding, there is a risk that SERCs may disallow costs deemed non-prudent, potentially leading to financial loss for DISCOMs. He requested that suitable safeguards be considered to protect DISCOMs entering into such bilateral arrangements in good faith. In response, DG, AIDA, acknowledged the concern and stated that as OTC platforms develop, transparent pricing and benchmark data are likely to emerge, which will aid in addressing SERCs' prudence checks. While competitive bidding may not apply, availability of real-time market information can support DISCOMs in justifying rates.

Shri Kanishk Khettarpal, BRPL, highlighted that Regulation 50 of the draft OTC market regulations allows cancellation of a member's membership without specifying any conditions or due process. He suggested that clear criteria or an opportunity for representation should be included. DG, AIDA, acknowledged the suggestion and agreed to include in AIDA's comments. He further informed that CEA has also issued draft amendments to safety regulations.

4. Member raise Concerns on various other topics.

Shri Vijay Prakash Singh, Tata Steel, raised two important regulatory concerns. Firstly, he flagged issues with the FPPA formula, wherein due to regulatory gaps, DISCOMs are sometimes required to pass on negative FPPA to consumers, despite actual under recovery, leading to further accumulation of regulatory assets and carrying costs. Secondly, he highlighted that Delayed Payment Surcharge is often treated as Non-Tariff Income, whereas it reflects the financing cost borne by DISCOMs. He cited an APTEL order supporting separate allowance of such costs. He requested AIDA to take up both matters, particularly the FPPA issue, at an appropriate level. DG, AIDA, acknowledged the concerns and informed that a Policy Matters meeting will be scheduled soon for detailed discussion. He further advised to prepare a short note or a brief presentation outlining the issue, supported by relevant examples and data. This will enable the committee to have a clearer understanding of the matter and make informed contributions during discussions.

Shri B. Ashok Kumar, CGM/RA, APEPDCL, expressed concern over the steep rise in RPO targets from 20% to 29%, noting that such a sudden increase makes compliance challenging and requires intervention. He emphasized that this issue affects all DISCOMs. DG, AIDA agreed and informed that AIDA will write to all member DISCOMs requesting details on steps being taken to meet RPO targets, challenges faced, and support needed. A consolidated representation will then be submitted to the Ministry of Power.

Shri Rajeev Chowdhary, BRPL & BYPL, highlighted a critical issue faced in Delhi and other states, where recurring creation of regulatory assets by the SERCs has led to significant financial stress for DISCOMs. He pointed out that while DISCOMs are allowed a carrying cost of around 11–12%, they are charged Late Payment Surcharge (LPSC) by generators at much higher rates (15–18%), resulting in an unfair penalty despite no fault on their part. He cited Delhi's case, where regulatory assets have reached Rs. 27,000 crore which is 1.5 times the DISCOM's annual turnover. This has led to delayed payments to generators, with DISCOMs unfairly blamed. DG, AIDA, acknowledged the issue and suggested him to share a detailed note with supporting data. He confirmed that this issue, along with the earlier point on RPO compliance challenges, will be recorded and taken up in the next policy discussion. Members were encouraged to send inputs for inclusion.

5. Meeting Conclusion Remarks by Shri Alok Kumar, DG AIDA

In the concluding remarks, DG AIDA, emphasized the importance of substantiating concerns with relevant data and analysis before taking them up at appropriate forums, including the Ministry of Power. He highlighted two key issues raised by member DISCOMs during the discussion:

1. Challenges in meeting Renewable Purchase Obligation (RPO) targets, and
2. Discrepancy between the carrying cost allowed on regulatory assets and the significantly higher Late Payment Surcharge (LPSC) being levied.

He advised that while these issues are important, they need to be backed with well-documented facts and figures. He further stated that if DISCOMs could share detailed notes and supporting material on these matters particularly efforts already undertaken and difficulties being faced it would help in drafting a comprehensive representation.

He assured that once the requisite data is received, the Secretariat will compile and formulate the matter suitably for further deliberation. He also cautioned that presenting the case to the Ministry without robust groundwork may not yield results, hence urged all member DISCOMs to share relevant inputs at the earliest.



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